Embecta Corp. (EMBC): 5.00% Senior Secured Notes due 15 February 2030

Credit memo · Ohm Patel · 23 October 2026 · Data through Q3 FY26 (30 June 2026) · S&P B / stable

RECOMMENDATION

> **Buy, in moderate size, at around 81 (yield to maturity of about 12.1%).**
>
> In my downside case Embecta still covers cash interest 2.1 times, stays under its 4.75x leverage covenant and refinances its 2029–30 maturities. In the stress case the covenant breaks in FY27 and first-lien holders recover an estimated 59–85 cents, depending on when the default happens.

BUSINESS

Embecta was spun out of Becton Dickinson in April 2022 and sells insulin pen needles and syringes. FY25 revenue was $1,080m and Credit EBITDA (defined under the base case) was $348m. Pen needles were 73% of revenue and the US was 54%. In May 2026 it bought Owen Mumford, a UK drug-delivery company with an auto-injector platform and about $90m of annual revenue, for $128m net of cash, paid for with the revolver.

THE CREDIT QUESTION

US revenue fell 24.6% year on year in Q3 FY26 and pen-needle revenue fell 18%. When S&P cut the rating to B in May it pointed to a large retail customer switching to a cheaper needle, payers moving volume to lower-cost product, and fewer insulin injections as GLP-1 drugs and insulin pumps spread. Management lowered its FY26 free cash flow expectation from $180–200m to about $100m and cut the quarterly dividend from $0.15 to $0.01. The debt is marked at about 81 cents (Level 2 fair value of $1,186m against $1,455m carrying value).

The revolver was amended on 6 August 2026. Commitments fell to $310m and $210m was extended to December 2028, so only $100m still matures in March 2027. The bigger exposure is the $618m term loan due March 2029 and $700m of notes due February 2030. Whether those get refinanced depends on leverage at the end of FY28. Because the core business is shrinking, I judge the notes on cash coverage through 2030 and give no weight to a terminal value.

HOW THE US FORECAST WORKS

US revenue is the product of three drivers: insulin-pen user volume, net price after payer mix, and market share. Volume falls as GLP-1s delay or replace insulin in type 2 diabetes and as pumps, which don't use pen needles, spread in type 1. Net price follows the Part D redesign, which leaves plans carrying more of the insulin cost and pushing for cheaper needles. Share captures the lost retail customer. International revenue, which includes generic GLP-1s sold with Embecta needles in India, Canada and Brazil, and Owen Mumford are forecast separately. FY26 is calibrated to guidance: revenue of $1,024m against a $1,015–1,035m range, and free cash flow of about $111m against management's figure of about $100m.

BASE CASE

$m, fiscal years ending 30 Sep	FY25A	LTM Jun-26	FY26E	FY27E	FY28E	FY29E	FY30E
Revenue	1,080	1,019	1,024	1,042	1,034	1,032	1,033
US revenue growth	(4.6%)		(18.6%)	(12.4%)	(7.8%)	(6.4%)	(5.9%)
Credit EBITDA	348	306	298	287	284	284	279
Credit EBITDA margin	32.2%	30.0%	29.1%	27.5%	27.5%	27.5%	27.0%
Free cash flow after interest	182	165	111	160	167	172	163
Total debt	1,417	1,469	1,432	1,280	1,121	957	802
Net leverage	3.41x	4.09x	4.13x	3.77x	3.24x	2.67x	2.16x
EBITDA / cash interest	3.2x	3.2x	3.3x	3.3x	3.8x	4.3x	4.5x

Credit EBITDA is EBIT plus D&A and non-recurring operating costs, less asset-sale gains. Stock-based compensation is not added back, so the figure runs about $30m below management's adjusted EBITDA. Adding it back reproduces the ~3.7x covenant leverage management reports. Interest is charged on opening balances, which keeps the model free of circular references.

All cash above $200m goes to the term loan, which brings total debt down by about $615m by FY30. The 2029–30 maturities are refinanced at 9% from 3.2x leverage and the notes are repaid at par.

DOWNSIDE AND STRESS

Downside: US volume falls 6–8% a year, net price 3–6% and share another 2–6%. Gross margin reaches 49.5% by FY30 and refinancing costs 11%. **Stress:** US revenue falls 14–24% a year, gross margin reaches 46%, and the high-yield market is closed to Embecta in FY29–30.

	FY26E	FY27E	FY28E	FY29E	FY30E
Downside					
Revenue / Credit EBITDA	1,016 / 293	987 / 237	937 / 211	899 / 193	871 / 179
Net leverage	4.22x	4.73x	4.80x	4.74x	4.73x
Covenant leverage (limit 4.75x) / EBITDA headroom	3.94x / 17%	4.37x / 8%	4.41x / 7%	4.34x / 9%	4.31x / 9%
EBITDA / cash interest	3.2x	2.7x	2.7x	2.7x	2.1x
Stress					
Revenue / Credit EBITDA	1,011 / 287	945 / 198	865 / 160	809 / 133	765 / 115
Covenant leverage	4.03x	5.39x	6.17x	6.92x	7.53x
EBITDA / cash interest	3.2x	2.3x	2.0x	1.7x	n.m.
Status / first-lien recovery if default that year	OK	Breach / 85%	Breach / 73%	Default / 65%	Default / 59%

Recovery is distressed enterprise value (Credit EBITDA at 5.0–6.0x) divided by net debt. All four instruments rank equally as first lien, so each recovers the same amount per dollar.

- Peak leverage is 4.8x in the downside and 6.8x in stress, both in FY28. Downside coverage stays at 2.7x until refinancing at 11% brings it to 2.1x in FY30. Stress coverage falls below 2.0x in FY28.
- In the base and downside cases, free cash flow of $80–120m a year keeps the revolver undrawn after FY26, with $410m of liquidity. In stress the covenant breaks in FY27, two years before cash runs out in FY29.
- Refinancing the March 2029 term loan is easy in the base case at 3.2x. In the downside, at 4.8x with 7% covenant headroom, it probably takes an amend-and-extend with existing lenders.
- The thesis fails if gross margin runs about 1.2 points below the downside path, roughly 50% by FY28. That is the same as covenant EBITDA below about $213m in FY28, where the covenant breaks and the 2029 maturity can't be refinanced on its own. The base case can absorb a 6.3-point gross margin miss before it breaches.

Held to maturity from 81, the notes return about 35 points (19 of price and 16.5 of coupon) in both the base and downside cases. In stress the loss ranges from close to nothing to about 25 points, depending on how early lenders take control. There is no unsecured debt beneath the first lien, so a breach in FY27–28 hands lenders a business still worth 73–85 cents on the dollar. I would avoid the notes only if I put the stress case near even odds.

WHAT WOULD CHANGE MY VIEW

- US pen-needle revenue still down more than 15% a year after Q3 FY27, once the lost retail customer is in the prior-year comparison. That would put the company on the stress path.
- Quarterly gross margin below about 52% (56.4% in Q3 FY26), or covenant headroom under 10%.
- No refinancing plan for the term loan by mid-2028, when it becomes current debt. In the other direction, an FY26 10-K with free cash flow of at least $100m and US revenue holding flat quarter on quarter would support a larger position.

MAIN RISKS

GLP-1 adoption. Every point of lost US volume is high-margin needle revenue that falls almost straight through to EBITDA. Owen Mumford's auto-injector business gains from GLP-1 growth, but at $90–120m of revenue it is too small to make up the difference.

Liability management. All four instruments rank equally as first lien. If refinancing goes badly in 2028, a majority of term lenders could attempt a non-pro-rata exchange that moves them ahead of the notes, which sit under a separate indenture. I would read the indenture covenants and the credit agreement's sacred-rights provisions before adding to the position. That uncertainty is the main reason the size is moderate.

Sources: Embecta FY25 10-K (25 Nov 2025); Q3 FY26 10-Q (7 Aug 2026), including Note 21 and Exhibit 10.2 (First Amendment to the credit agreement); Q3 FY26 earnings release and call; S&P rating action of 11 May 2026 as reported by Investing.com. The price is a proxy from the 10-Q blended fair value. Cbonds shows the 6.75% 2030 notes at about 930bp over Treasuries, which would put the 5% notes nearer 78 (about 13.3% yield); confirm on TRACE. Moody's rating not verified. Student analysis, not investment advice.